

3.2 VARIABLE AND FIXED COSTS

MARKING SCHEME

1990/CE/II/11
D

2003/CE/II/10
A (90%)

2017/DSE/I/10
B (87%)

2025/DSE/I/41
B

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1991/CE/I/4(a)(ii)

License fee of the lorry / monthly parking fee of the lorry / registration fee of the firm is a fixed cost, because
it does not vary with the output level.

(1)
(2)

Cost of petroleum / depreciation of the lorry is a variable cost, because
it varies with the output level.

(1)
(2)

2014/DSE/II/2(b)

Cost of buying the accessories, or wages of part-time workers, because
expenses on these items would vary (increase) with the output of Ah Wing's shop.

(1)
(1)

[Mark the **FIRST** example only.]